Macroeconomics II - 2nd Part

Alessandro Di Nola
Universitat de Barcelona

2nd term 2022/2023

Contact Information

- Section of Economic Theory, Department of Economics
- Office: 412 (Diagonal 696 Building)
- Email: dinola@ub.edu
- Office hours: by appointment.

Course Description

The course covers advanced topics in dynamic macroeconomics. We will focus on search frictions in the labor market which are useful to understand unemployment and labor market dynamics. The course outline can be found below.

Topics and Organization

- Part I: Job search model (McCall)
  - Basic model.
  - Extension: Firing costs.
  - Extension: On-the-job search.
  - References: Ljungqvist and Sargent (2018) Ch.6, Cahuc et al. (2014) Ch.5
- Part II: Equilibrium unemployment (Diamond-Mortensen-Pissarides model)
  - Basic model in steady-state.
  - Model with productivity shocks
  - References: Pissarides (2000) Ch.1, Ljungqvist and Sargent (2018) Ch.29-30
- Part III (if time permits):
  - Wage posting (Burdett and Mortensen (1998))
  - Directed search (Moen (1997)).

Course evaluation

There are 3 problem sets and a final examination. The final grade of the 2nd part of the Macroeconomics 2 course is the maximum between a weighted average grade (where problem sets weight 40% of the mark, and the final exam, 60%) and the grade of the final exam.

Important Dates

- 10 Lectures from February 14 to March 17 on Tuesday and Thursday. Time: from 10:00 to 12:00. Room 1030.
- Deadline Problem Set 1: TBA.
- Deadline Problem Set 2: TBA.
- Deadline Problem Set 3: TBA.
- Final exam: April 19.

References

Burdett, Kenneth and Dale T Mortensen, "Wage Differentials, Employer Size, and Unemployment," *International Economic Review*, May 1998, *39* (2), 257–273.

Cahuc, P., S. Carcillo, and A. Zylberberg, *Labor Economics, second edition* The MIT Press, MIT Press, 2014.

Ljungqvist, Lars and Thomas J. Sargent, *Recursive Macroeconomic Theory, Fourth Edition*, Vol. 1 of *MIT Press Books*, The MIT Press, September 2018.

Moen, Espen R., "Competitive Search Equilibrium," *Journal of Political Economy*, 1997, *105* (2), 385–411.

Pissarides, Christopher A., *Equilibrium Unemployment Theory, 2nd Edition*, Vol. 1 of *MIT Press Books*, The MIT Press, September 2000.

Rogerson, Richard, Robert Shimer, and Randall Wright, "Search-Theoretic Models of the Labor Market: A Survey," *Journal of Economic Literature*, December 2005, *43* (4), 959–988.